

become endangered by technological disruption from innovations that simultaneously destroyed their incumbent businesses while birthing phenomenal new ones that ate their lunch.

*Technology*, a word not found in the index of the first four editions of *Security Analysis*, has obviously become a predominant force in understanding and conducting business analysis. In short, companies develop and market technology, figure out how to use it to improve their operations, or live in fear of it overtaking them. It's now a fact of life, the 800-pound gorilla in almost every room. Technology unleashes a torrent of change, which means that the cash flows of a business today might tell you little about its future prospects; but it's the future cash flows, as previously discussed, that are the true determinant of value.

While Graham was interested in companies that produced consistent earnings, analysis in his day was less sophisticated regarding why some companies' earnings might be more resilient than others. Investors today examine businesses but also business models to identify the best ones. The bottom-line impact of changes in revenues, profit margins, product mix, and other variables is carefully studied by managements and financial analysts alike. Investors know that businesses do not exist in a vacuum; competitors, suppliers, and customers can greatly influence corporate profitability. They also understand that the rapid pace of innovation means that business circumstances can change quickly. Analysts evaluating fast-growing companies must consider not only the current volume of business, but also the potential demand for that product or service and its total addressable market (TAM) in order to assess for how long a company's growth might persist and when it might taper. Similarly, analysts think about the "right to win" of a business, the market share it might reasonably compete for, based on its cost structure and product advantages. While assessing future prospects of businesses in newly created industries is always difficult, investors would fall short if